CHAPTER 46 Finance Commission

Article 280 of the Constitution of India provides for a Finance Commission as a quasi-judicial body. It is constituted by the President of India every fifth year or at such earlier time as he/she considers necessary.

Till now, fifteen Finance Commissions have been constituted. The name of the commissions, the years in which they were constituted and submitted their reports, and the names of the chairman are given in Table 46.1.

COMPOSITION

The Finance Commission consists of a chairman and four other members to be appointed by the President. They hold office for such period as specified by the President in his/her order. They are eligible for reappointment.



The Constitution authorises the Parliament to determine the qualifications of members of the commission and the manner in which they should be selected. Accordingly, the Parliament has specified the qualifications of the chairman and members of the commission[1]. The chairman should be a person having experience in public affairs and the four other members should be selected from amongst the following:

1. A judge of high court or one qualified to be appointed as one.
2. A person who has specialised knowledge of finance and accounts of the government.
3. A person who has wide experience in financial matters and administration.
4. A person who has special knowledge of economics.

FUNCTIONS

The Finance Commission is required to make recommendations to the President of India on the following matters:

1. The distribution of the net proceeds of taxes to be shared between the Centre and the states, and the allocation between the states of the respective shares of such proceeds.
2. The principles that should govern the grants-in-aid to the states by the Centre (i.e., out of the consolidated fund of India).
3. The measures needed to augment the consolidated fund of a state to supplement the resources of the panchayats and the municipalities in the state on the basis of the recommendations made by the state finance commission[2].
4. Any other matter referred to it by the President in the interests of sound finance.